



Lesson 7

Landlord & Tenant Laws

- License
- Lease
- Definition of a lease
- Essential characteristics of a lease
- Formal requirements of a lease
- Landlord and Tenant's relationship

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What is a License ?

1. A property can rent under a license
2. **Licensor** (Landlord) grants a license to **Licensee** (Tenant) through a **contract**
3. A **license** is a **permission** to use or occupy land for specific purposes
 - usually in return for payment of **license fees**

Example 1:

Renting an service office

Example 2:

Using lecture hall or seminar room

4. A **personal right to occupy** a property
 - **Licensee** has **no proprietary rights**
 - If land ownership changes, licensee does not have rights against new owner
→ Does not bind 3rd parties.
5. In law, a licensee has **no exclusive possession** and control
 - No interest in land
6. License is **not transferable** → cannot assign or pass property upon death
7. License is **terminated** when **permission** to occupy is **withdrawn** by Landlord



Type of License



1. Bare Licence

Licensee (Tenant) has a personal privilege to be on the licensor's (Landlord) land

Example 1

A member of public enters a café for commercial or consumer purposes (by implication).



License

Bare License

Personal Privilege

Contractual License

Pay to Use

2. Contractual Licence

Licensee given permission to occupy land for a fixed term & fee

Example 2

cinema patron, soccer match spectator, concert



Example of License



State License - Temporary Occupation Licences

1. Renting out State Land or Properties
2. Occupation for temporary purposes

Examples

- Temporary car parks, open spaces, landscaping
 - Mini fairs, trade expositions, carnivals on State land
 - Temporary Workers Quarters, Site Offices
3. Created under **State Land Act** and issued by **Collector of Land Revenue (SLA)**
 4. Issued TOL under:
 - **HDB** → Contractor Site Office, Work Site or Show-flat
 - **JTC** → Temporary Site for Storage Purpose
 - **STB issued NRTOL** → Orchard Road Pedestrian Mall (State Land) on short-term & temporary basis
 5. License period shall not exceed **10 years** (issue new or renew)
 6. Licenses obtained through **applications**, **auctions** or **tenders**.

State License - Temporary Occupation Licences

Characteristic of Temporary Occupation Licenses:

1. Cannot **transferred** / **assigned** without written consent
2. Cease → **Death** of the licensee
3. **No subletting** with exception of written consent
4. No permanent building or structure to be erected with exception with of prior consent.

Can Landlord grants license instead of tenancy agreement to rent out property ?



What is a Lease ?

1. A **proprietary interest** to **possess and use** land during agreed tenure
 - Tenant has **legal right** to **occupy** the land
 - Enforceable **against** third parties
2. Made through a contract
 - Shorter duration rights to possess → **Tenancy Agreement**
 - Longer duration rights to possess → **Lease Agreement**
3. A lease is also known as **leasehold estate**
4. Based on a **fixed or periodic term** in consideration of a **payment of rent**

Recalled from previous lessons

5. In a lease, the landlord must have interest to **retain** the land in future known as **reversion**



Essential Characteristics of a Lease

1. Payment of Rent

- Rent has to be paid for occupying the property

2. Certainty of Duration

- Length of a lease must be clear

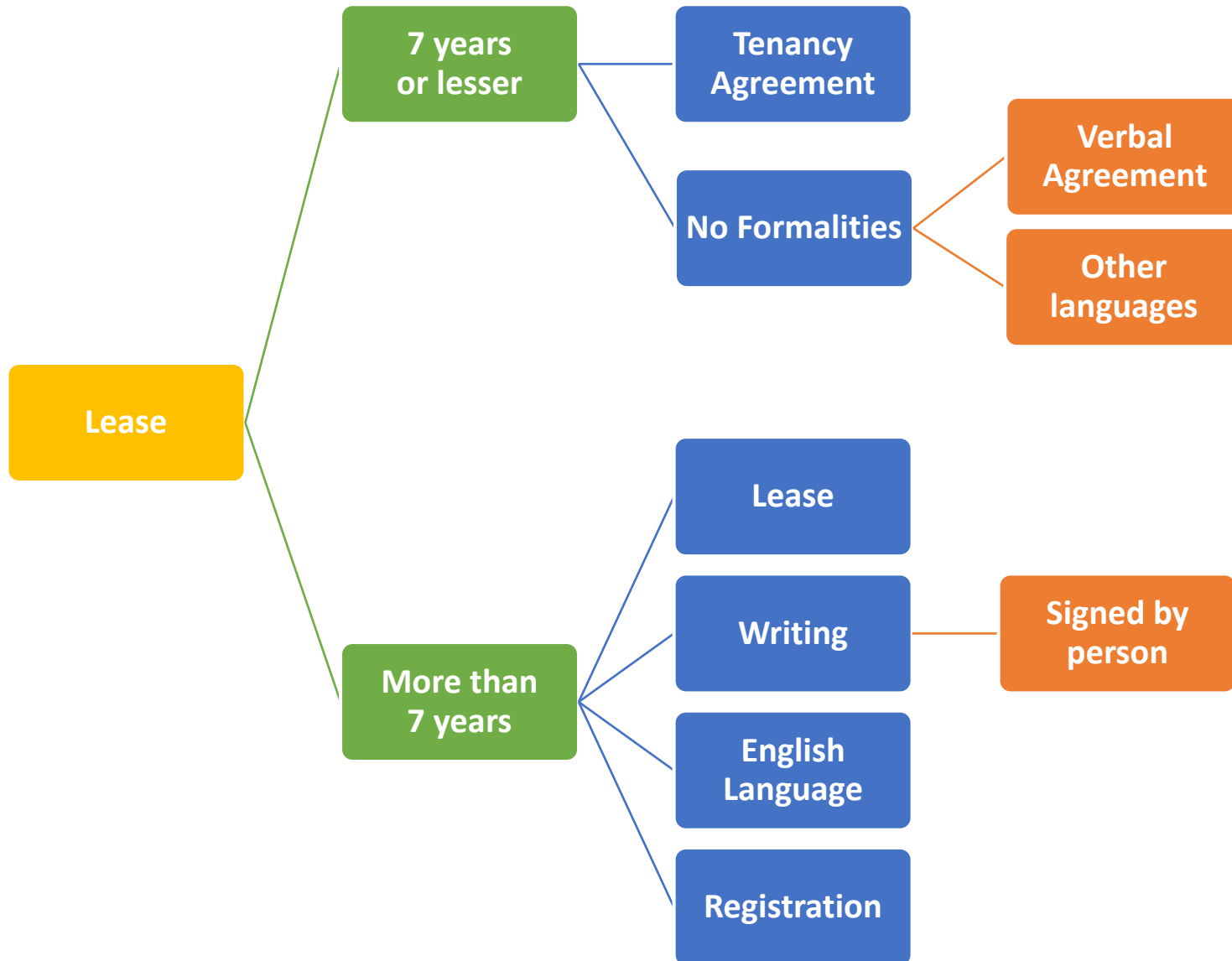
3. Exclusive Possession

- Possession of Property to exclude anyone (include landlord)
- Legally bind 3rd parties
- Includes Exclusive Right to Use and Enjoy the property without interference

Note:

- Exclusive Use and Control (Enjoy) does not meant Exclusive Possession

General Requirements of a Lease



Requirements of Short Term Rent



1. Rent period of **7 years or less** is a short term rent
2. No formalities are required to form tenancy agreement

Examples:

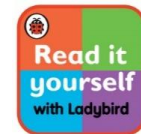
- a) Verbal Agreement
- b) Written in languages other than English
- c) May not require a security deposit

3. Usually, a short term tenancy is written and signed by landlord and tenant

Note:

Under the Planning Act, anyone found guilty of engaging short-term accommodation on residential property for **less than 3 months** will minimally face a **fine of \$200,000 and/or not exceeding 12 months imprisonment or to both**

Formal Requirements of a Lease



Renting period **exceeding** 7 years:

1. Must in **writing** and in **deed**

1.1 S6(d) Civil Law Act

- Contract for sale of immovable property is must be **writing and signed by person**
- **Enforceable**

1.2 S53 Conveyance Law Property Act

- Leases (including assignments) exceeding **7 years** must be in **English language**;
- Otherwise lease is **void** at law

2. **Registration**

2.1 S87 Land Title Act & S25 Registration Of Deed Act

- Leases exceeding 7 years (**includes option to renew**) must be **registered**

2.2 S87(2) Land Title Act

- The Registrar **shall register** any lease:
 - a) Term is expressed to exceed 7 years;
 - b) Date of commencement of the term and its maximum duration are certain; **and**
 - c) Lease purports to confer on the lessee exclusive possession of land

Formal Requirements of Lease

3. Long Term Lease Void → Foreigner Tenant

S33(d) of Residential Property Act

- Foreigners (including SPR) rented restricted property
- **Lease exceeding 7 years**

4. Leases of Mortgaged Property

S89 Land Title Act

- a) A lease of registered land which is subject to a mortgage **shall not bind the mortgagee** unless the lease is expressly or impliedly authorised, either by the mortgage or by law;
or
- b) the mortgagee consents to the lease

What does it mean ?

What happens when formalities of a lease are not complied with ?

Lease that meets formal requirement → Legal Lease

If there is failure to comply with requirements of a legal lease → Equitable Lease

Example 1

A lease that exceeds 7 years and not in prescribed form can only be considered an equitable lease based on an enforceable agreement.

Example 2

Landlord Alex rented out his condominium by granting a lease to Tenant Benedict. Both signed a tenancy agreement for 5 years written in Chinese language. Hence, there is no legal lease between them.

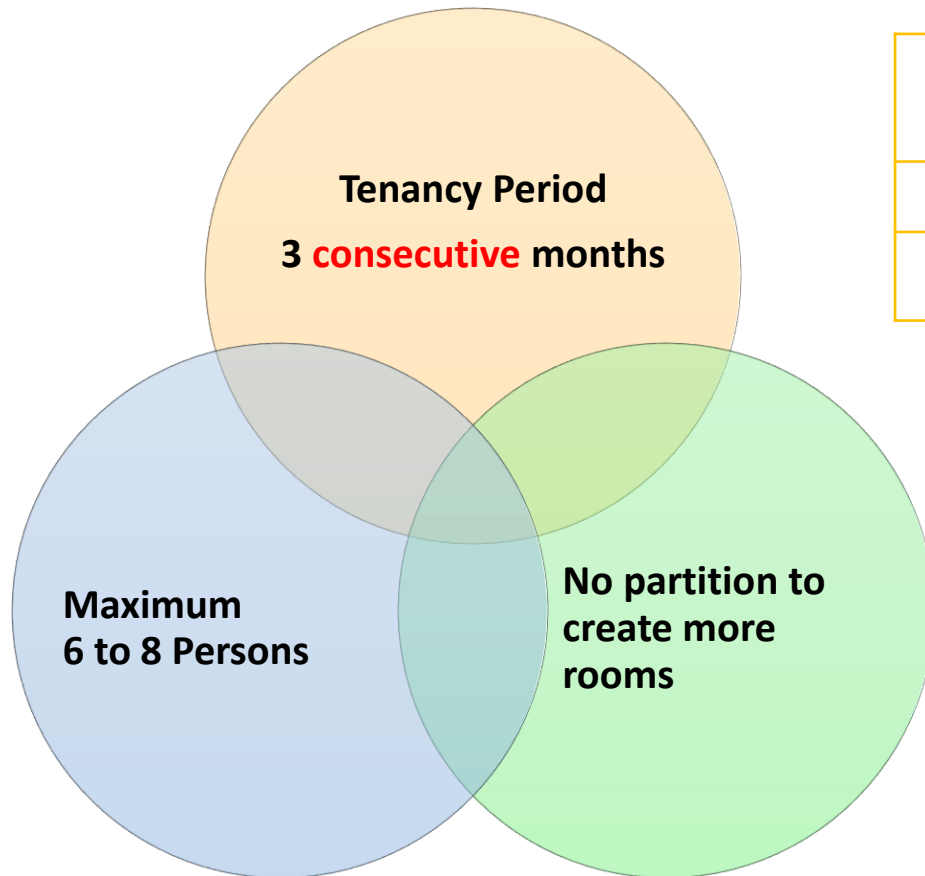
Benedict moves into premises while paying rent so he has an equitable lease

1. If Benedict assigns equitable lease to Charlie, Charlie becomes Alex's new tenant under equitable lease too
2. Should Alex subsequently sell the premises to Zac and Zac proves that he has no notice of Charlie's tenancy with Alex
3. Zac will take the premises free of Charlie's equitable lease.

In this scenario, Zac is known as _____

URA Regulations on Leasing

Planning Act



Strata Area	Number of Unrelated Persons Allowed
Less than 90 m ²	6
90 m ² and above	8

8 Tenants – Private Property – Register to URA for approval

Effective from 22 January 2024 to 31 December 2026

Private Residential Property

URA Regulations on Leasing Residential Property



PREMIUM

NZ family that unknowingly booked illegal Airbnb stay in Singapore turned away



Mr Blair Haynes and his two children, Baxter (middle) and Flynn. His family booked the two-bedroom unit in Caribbean at Keppel Bay for four nights through Airbnb's website. But the family was turned away last Friday by security guards at the condominium as short-term rentals are illegal in Singapore. PHOTOS: COURTESY OF BLAIR HAYNES

PUBLISHED MAR 15, 2018, 6:55 PM SGT

Note:

1. Private Residential Property not allowed for short-term accommodation

An example of short-term accommodation is when **tourists, book and stay at such properties for a few days**

2. **MCST** play an important role in tightening security measures to minimise the occurrence of short-term accommodation activities at their developments.

For example, they can step up the **screening** of visitors seen **carrying luggage**, and note down details of their units and entry/exit dates

Rights & Duties of Landlord & Tenants

1. Landlord and Tenant's Rights and Duties

- governed by clauses (express covenants) in the lease (contract)

2. Lease agreement contains:

2.1 Habendum Clause

- A **Habendum** clause defines the type of **interest** and **rights** to be given to lessee / tenant

Example 1

*"The property is **leased** to tenant for **1 year** and **use** for the purpose of **residential use** only"*

2.2 Reddendum Clause

- A **Reddendum** clause by which **landlord** reserves something in the property before granting a lease
- A clause specifying **amount** of **rent** and **when** it should be **paid** in return for granting a lease

Example 2

*"The tenant shall pay **rent amount** \$2000 on **1st** of every month."*

General Rights and Duties of Landlord – Implied Covenant

1. Quiet enjoyment by tenant - no disturbance by landlord
2. Pay Taxes
3. Fitness for habitation *e.g.* not bug-infested
4. Up keep the common property in reasonable state
5. **Right of Re-Entry** by the Landlord
 - S93(3) of the Land Title Act
Right of re-entry for breach of any express or implied covenant in all registered leases.
 - Re-entry is effected by a **writ of possession**, but the landlord may peaceably physically re-enter and take possession.
6. Giving **2 days** advance notice, may enter to view state of repair.
 - Serve notice to tenant to make good any defects in accordance with covenants.
 - If tenant fails to repair, the landlord may enter the premises from time to time to carry out the repair himself
7. The landlord and his agents may enter at reasonable times to comply with any public notice or statutory requirement *e.g.* check for illegal immigrants
8. If rental not paid or breach any covenant for **30 days**, landlord can enter & terminate lease.

General Rights and Duties of Landlord – Implied Covenant

Case Study: Cold Storage v Chancery Court 1989

Derogate : Deviate from a set of rules

9. Non-Derogation from Grant

A general legal principle that **Landlord** agrees to confer a benefit on **Tenant**, then **Landlord** should not do anything that substantially **deprives Tenant** of the enjoyment of that benefit.



Chancery Court in Dunearn Road sold en bloc for \$401.78m, 6% higher than reserve price



The winning bid for Chancery Court translates to a land price of about \$1,610 per square foot per plot ratio. PHOTO: ORANGETEE ADVISORY PTE LTD



General Rights & Duties of Tenant – Implied Covenants

Tenant's **Express** Covenants:

1. Not to assign or sublet without landlord's consent.
2. Not to harbour illegal persons.
3. Use premises for purpose as stated in the lease; not to use premises for illegal or immoral purposes.
4. Pay utilities and telephone charges for own usage.

Implied Covenants → Tenant's Implied Duties

1. Pay rent
2. Repair
3. Allow access to Landlord for viewing – S93 Land Title Act
4. Not to allow the property to fall into disrepair or **waste**

Doctrine of Waste

Waste (legal term in law of real property) is an unreasonable or improper use of land by an individual.

- act that alters the nature of land
- change in condition of real property
- damage or destroy the value of that property

Remedy of Waste

Landlord or Owner of a vested future interest can **sue** a life tenant or lessee for waste:

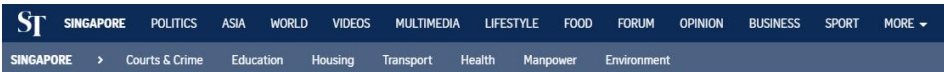
1. Damages
2. Restore the property to its original condition

Types of Waste

1. Voluntary Waste

- changes made to the property **intentionally** or **negligently** causes harm to the property
- Structural changes

Example 1 - Damaged walls



HDB finds damaged walls in flat of 'neighbour from hell'



An inspection by HDB officers of the Elias Road flat found damage on two walls. One damaged area was about the size of a basketball.
-- ST PHOTO: LIM SIN THAI

Example 2 – Tenant removes fixtures



Types of Waste

2. Permissive Waste

- **failure** to maintain the property **physically** or **financially**

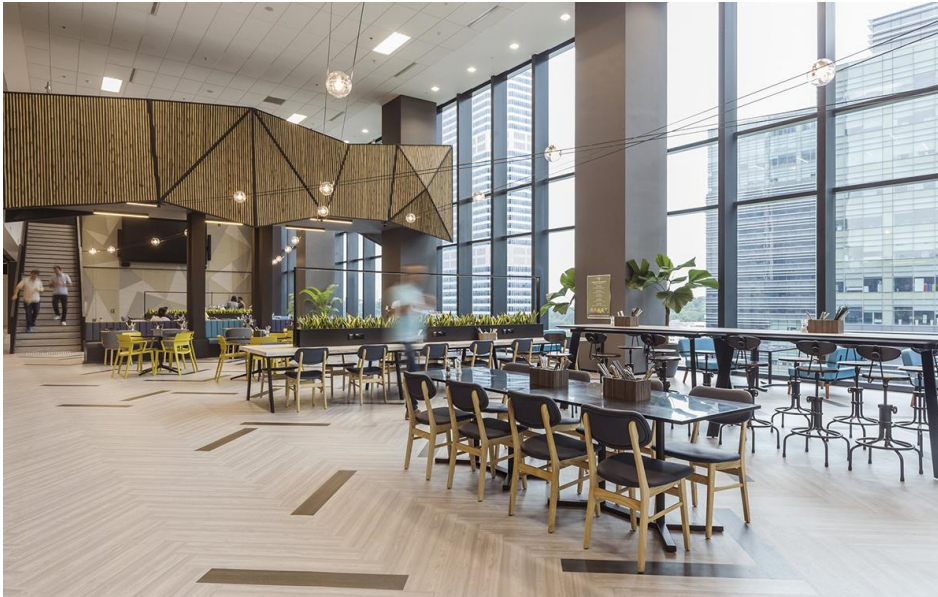
Example 3 - Fail to repair water pipes and cause damage to floor or wall



Example 4 - Tenant did not clean the pool



3. Ameliorative waste - Change property's characteristic → Improvement



Common Clauses

1. **Security Deposit:** This is the sum of money (usually 2 to 3 months) held by landlord till the end of the lease subject to deductions for damages caused by tenant; cannot be used to off-set outstanding rent unless agreed by the parties.
2. **Option to renew:** “ The Landlord will on the written request of the Tenant made not less than (x) calendar months before the expiration of the tenancy hereby created and if there shall not at the time of such be any existing breach or non-observance of any the agreements and stipulations on the part of the Tenant herein contained at the expense of the Tenant grant to the Tenant a tenancy of the said premises for a further term of(x) year(s) from the expiration of the tenancy hereby created upon the same terms and conditions except for this option and except for the monthly rent and hiring charges contained herein which shall be that as agreed to by the parties.”
3. **Rent Review Clause:** This clause provides for when the rent is to be reviewed (eg. upon the lease being renewed; at pre-agreed intervals during the term of the lease, etc) and how the revised rental is to be determined (e.g. by reference to the market rental or to changes in the consumer or rental price index).
4. **Minor Repair Clause:** The minor repair clause will only take effect after 30 days, counting from the start date of the Tenancy Agreement contract. If the minor repair cost is more than \$200, the initial \$200 will still be paid by tenant whilst excess to be borne by landlord

Common Clauses

5. **Default & re-entry:** “If the rent hereby reserved or any part thereof shall be unpaid for fourteen (14) days after becoming payable (whether formally demanded or not) or if the Tenant shall fail or neglect to perform or observe any of the obligations, stipulations and agreements herein or if any condition or stipulation entered into between the parties hereto shall not be so performed or observed or if the Tenant shall become bankrupt or enter into composition with the Tenant’s creditors or suffer any distress or execution to be levied on the Tenant’s goods or if the Tenant being a company shall go into liquidation it shall be **lawful for the Landlord at any time thereafter to re-enter upon the premises** or any part thereof in the name of the whole and **thereupon this Tenancy shall absolutely determine** but without prejudice to the right of action to the Landlord in respect of any antecedent breach of this Agreement by the Tenant.”
6. **Diplomatic Clause:** “Notwithstanding the tenancy is for a term of years from ... it may only be determined after a period of 12 months by the Tenant giving to the Landlord ... (x) calendar months notice in writing of the Tenant’s intention to end the tenancy ifthe occupier of the premises and employee of the Tenant shall be required by the Tenant to leave Singapore permanently on a job transfer or if the said occupier’s employment with the said Tenant is terminated for any reason whatsoever. Proof of such transfer or cessation must be shown to the Landlord.”
7. **En-bloc:** This clause is included for old projects / properties; allows the lease to cease upon enbloc sale.

Termination of Lease

1. Expiry of Lease Term
2. Notice to quit (e.g. periodic tenancies)
3. Surrender (landlord agrees)
4. Merger of interest (e.g. tenant buys over)
5. Frustration (e.g. En bloc sale or compulsory acquisition)
6. Exercise of Diplomatic Clause / Exit Clause
7. Forfeiture (upon breach of covenants)

Remedies for Breach of Leases or Tenancy Agreement

General:

1. Damages for Breach
2. Injunction or Specific Performance

Others:

3. Action for Rent

- Sue for debt (breach of contract)
- Tenant liable for _____ rent for holding on property

4. Action for Distress

- Distress Act
- Court → Writ of Distress → recovered 12 months rent
- Impound goods or items under tenant possession
Cannot possess → clothing, bedding, goods for business and things not belonging to tenant
- Items to be sold within 5 days of notice unless rent is paid
- Applying Writ of Distress does not end tenancy

Remedies for Breach of Leases or Tenancy Agreement

5. Refusal to move out after breach → Writ of Possession

A court order served on a tenant by a landlord requiring the tenant to leave the premises by a certain time, enabling the landlord to repossess his property.



Couple moves into Hougang flat and refuses to leave after 3 years of skipping rent -- forcing owner to move out



Posted on 12 March 2017 | 80,354 views | 40 comments

A simple case of rental turned into a nightmare for a 51-year-old homeowner when the tenants, a couple refused to move out of his flat even after owing three years of rent, causing the victim to be homeless instead.

Remedies for Breach of Leases or Tenancy Agreement

6. Forfeiture of Lease

6.1 Right to Re-enter the property and forfeit the lease

6.2 Landlord **must prove**:

6.2.1 Landlord **shows evidences** and entitled to forfeiture

6.2.2 No waiver by Landlord

6.2.3 Satisfy statutory requirement governing forfeiture

6.2.4 Exercising power of re-entry physically or serve Writ of Possession

6.2.3 Procedures of Forfeiture (Statutory Requirement – **S18 Conveyancing and Law of Property Act**)

6.2.3.1 Tenant must be given generally **1 month notice**

6.2.3.2 Notice contains:

- **Specify** the exact or particular **breach**
- **Explanation** of such breach and remedy
- Ask for remedy (**provide reasonable time**)
- Seek **Compensation**
- Landlord must give **tenant chance to rectify** the breach and prevent forfeiture

Note: Once the tenant pays, the landlord cannot repossess.

a) Tenant can apply for **relief** against forfeiture (against the landlord's right of re-entry)

b) Court may grant or refuse **relief** as the court. (i.e. by paying up the rent unless his conduct is such as to disqualify him of relief)

Examples

Costs, expenses, damages, compensation or penalty including the granting of an **injunction** to restrain any like breach in the future as the court think fits

Case Study

PREMIUM

Stand-off in Raffles Place over owed rent



1 of 3 Fifty Raffles Place managing director Christopher Lim (wearing cap) speaking to his staff outside the Singapore Land Tower yesterday. They were locked out after a dispute with the landlord. Fifty Raffles Place owns the four food and beverage establishments on the 45th and 46th levels of Singapore Land Tower that were repossessed by the landlord on Monday. ST PHOTO: GAVIN FOO

PUBLISHED MAY 4, 2019, 5:00 AM SGT



Landlord seizes 4 eateries over \$686,000 rent arrears, staff locked out

K.C. Vijayan Senior Law Correspondent

A stand-off over rent arrears has led to the landlord of the Singapore Land Tower locking up, in total, four restaurants, bars and lounges in the 48-storey skyscraper in Raffles Place.

Police break into house, arrest teenagers after two-hour standoff arising from rent dispute

PUBLISHED JUN 7, 2013, 10:17 PM SGT



Lim Yan Liang China Correspondent

Police officers broke into a rented semi-detached house on Thursday after the tenants - a single mother and her three teenage children - locked themselves in and refused to assist in investigations over a dispute which arose from unpaid rent.

The mother had refused to let the officers question her two boys aged 12 and 17. A report was lodged against them for threatening the landlord of the Upper Paya Lebar Crescent house.

According to reports, the family had not paid rent for two months but refused to move out.



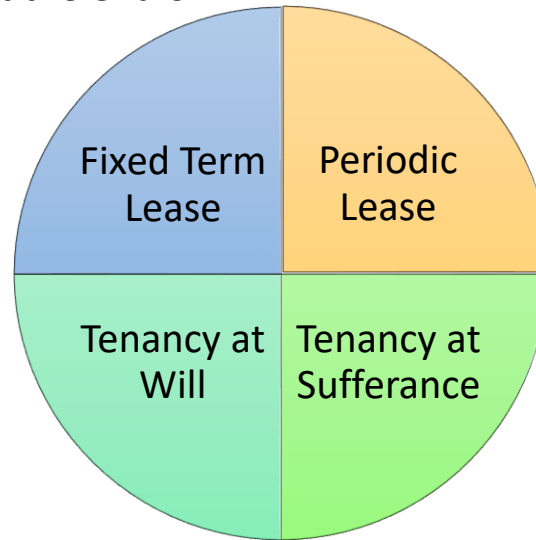
Type of Leases

Fixed / Predetermined period

- 3 or 6 months, 1, 2, 3, 15, 30, 60, 99, 999, 9999, 99999 year lease etc
- Automatically termination at the end of lease
- **No notice is required**

Periodic

- Daily, Weekly, Monthly, Yearly
- Runs indefinitely **until notice is given**.



Tenancy at Will

- Fixed term lease expires
- Tenant take possession **with landlord's consent** and without paying rent.
- Uncertain duration and either party can terminate arrangement at any time.
- Tenant has no interest in land

Tenancy at Sufferance

- Fixed term lease expires
- Tenant take possession **without landlord's consent**
- Tenant is a _____
- Landlord evicts tenant and claims _____ rent under S28(4) Civil Law Act

Type of Leases - Tutorial

1. Aunty Mary provides accommodation for her nephew John for a nominal rent while he is studying at university for 4 years. If John decides to further his studies, he needs to find another accommodation. Such arrangement between Mary and John is known as _____
2. Michael and David are good friends. David owns a coffeeshop and suggests Michael to run a food stall. David promises Michael that he can pay him rent later when he makes profit. Should Michael decides to end this food stall business, David allows him to leave all items in stall without any compensation. A year later, David died of heart attack, Michael continue to run the business. This arrangement is known as _____
3. Jennifer was selling her HDB flat to Dennis. During the negotiation, Dennis requested for handing keys 2 months early before legal completion so he can renovate the house. Jennifer agreed provided Dennis pay another \$5k more over the agreed price. Dennis agreed and signed the contract. This type of lease is known as _____
4. Kelvin is uncertain about his business lifespan. His office lease has just expired and landlord enquired if he wish to continue for another 3 years lease. He did not give an official reply but continues to pay rent on time. Kelvin's continuance to occupy the premises is known as _____

Privity of Contract

What is Privity of Contract?

1. **Privity** means a **relation** between two parties that is recognized by law
2. Relationship to two contracting parties (rights or obligations under that contract)
3. Parties to contracts should be able to sue to enforce their rights or claim damages
4. A contract cannot confer rights or impose obligations upon any person who is not a party to the contract

Example 1

An agreement between X and Y cannot impose legal obligations on Z.

Example 2

A contract between X and Y cannot be enforced by Z, even if the contract is intended to benefit Z.

Privity of Estate

What is Privity of Estate ?

1. Rights and duties enforceable against original parties
2. Rights and duties **touch and concern** the land
3. Bind successors
4. Successive relation to the rights and duties in property

Example 1

If Justin, a landlord gives Chris a valid lease for 10 years. Later Justin then sells land to XYZ Pte Ltd XYZ Pte Ltd has to acknowledge Chris as his tenant and cannot evict him except in accordance with the lease.

Even though there is no privity of contract between XYZ Pte Ltd and Chris:

- XYZ Pte Ltd is bound by lease even if he is not a party

Example 2

Johnson and Elaine rented out their flat to Aiko and Aimi for 1.5 years lease. 6 months later, Johnson and Elaine decided to sell the flat for \$1 Million. Aiko and Aimi cannot enforce the continuation of lease. New flat owner cannot continue to rent the tenants

Therefore, there is no privity of estate applied subletting of HDB flat

Assignment

1. An assignment involves:
 - transfer of an **interest or benefit** from Assignor (Tenant A) to Assignee (Tenant B)
 - However, **“burden” or obligations** under a contract **cannot be transferred**
 - usually applies to assignments of **tenancies** or **debts**
2. Assignor
 - still **retains responsibility (owes contract obligations to Landlord)** and
 - only **gives away benefits**
 - remain liable to perform any part of contract that has to be fulfilled since the burden cannot be assigned.

Example

Once tenant assigns leasehold interest to an **assignee**, the tenant has no right to occupy its premises. But landlord can pursue all remedies set forth in the lease against the original tenant based on a violation of the original contract terms.

Novation

1. All **benefits and obligations** under a contract is **transferred** to a **third party (“Assignee”)**.
2. The third party effectively **replaces** the original party (**“assignor”**) to the contract.
3. Novation involves **THREE** parties (**Assignor, Assignee & Landlord**)
 - **Deed of Novation**
 - **No consideration is paid** involves an incoming tenant and outgoing tenant
 - No change of clauses

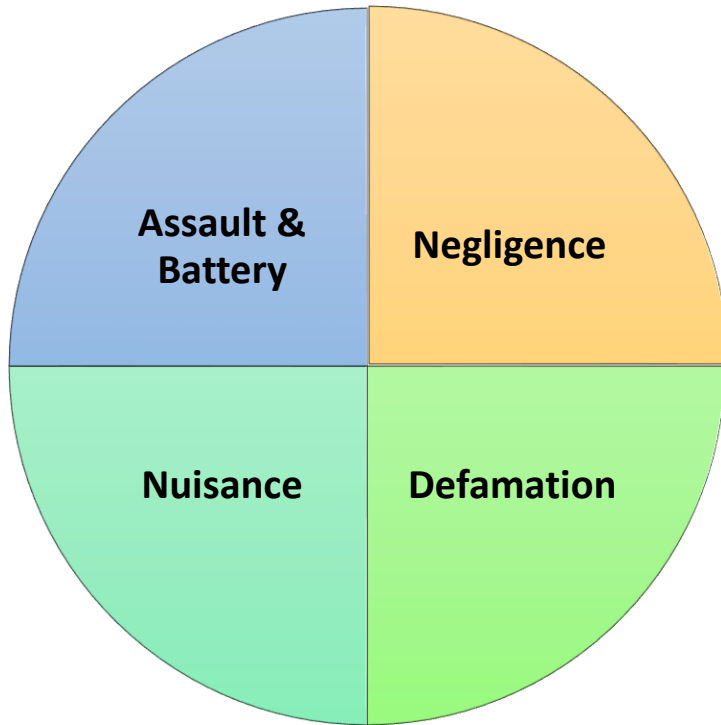
Lesson 7

Law of Torts – Negligence

General Law of Tort

What is Tort ?

A civil wrongful act done by a person or company which causes some injury or loss



Type of Torts

- Negligence - when an accident is caused
- Nuisance – noise/smells/substances affecting your enjoyment of space
- Defamation - when someone damages your reputation
- Assault & Battery - when someone threatens to or actually beats you up

What is the purpose of tort law ?

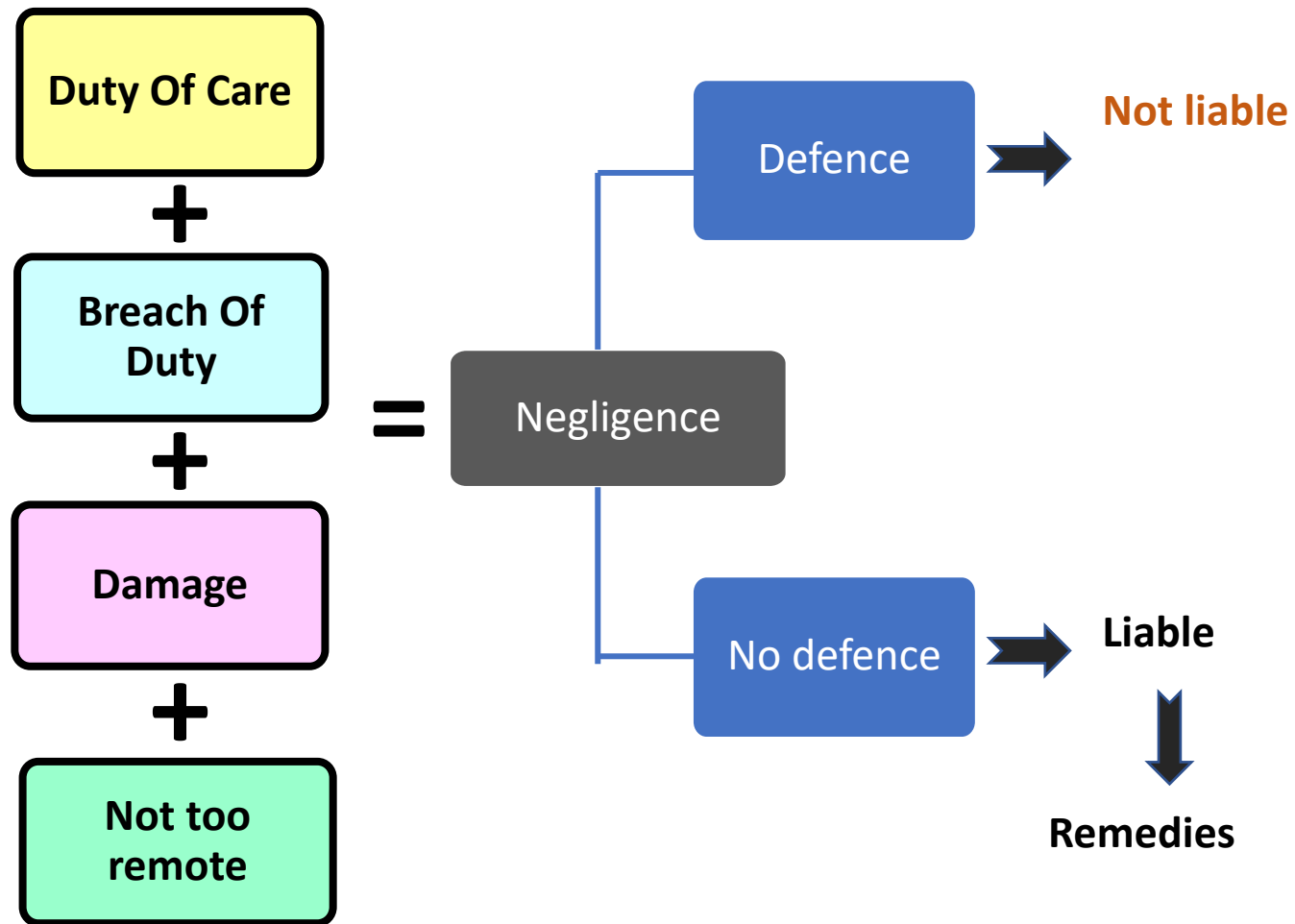
To protect from damage:

- a) to a person's body
- b) to a person's property
- c) to reputation
- d) unfair competition
- e) peaceful enjoyment of property

1. The law allows the injured party to seek legal liability
2. It is an infringement of right other than under contract.

Overview of Negligence

Elements of Negligence



Note: Victim must prove all 4 elements to show negligence

Negligence – Case Study

Singapore **Property News**

PREV

NEXT

Law firm, property agent and seller all in the wrong

Buyer misled into overpaying for shophouse

Posted on 18-Aug-2014
By: K.C. VIJAYAN SENIOR LAW CORRESPONDENT

[| More](#)



No Photo

A BUSINESSMAN paid \$900,000 for a [shophouse](#), believing it had 62 years left on its lease. He later found out there were only 17 years remaining.

Mr Su Ah Tee, 67, will now be paid the difference by the seller, the property agent and the law firm that acted for Mr Su, after successfully suing them in the High Court.

The court found that the market value of the [Kallang Bahru](#) shophouse would have been \$591,564 when Mr Su bought it in 2011, and three parties must share the price difference of \$308,436 to be paid to him, plus around \$9,000 in stamp duty.

Mr Su bought the shophouse from Mr William Cheng, an [HDB](#) coffee shop owner, in March 2011 after he was told by property agent Ng Sing that there were 62 years left on the lease and the property, with two tenants, was earning [rental](#) income of \$3,800 a month. He bought the unit in the names of his wife Lye Yin and son Su Hong Quan, and completed the deal in June 2011.

The following month, he received an e-mail from law firm Allister Lim and Thrumurgan (ALT) informing him that the unit had a residual leasehold of only 17 years. Around the same time, he also found out that the two tenants were in fact sub-tenants, which meant he could not collect rent directly from them.

This sparked the professional negligence suit that he filed against ALT, which had been acting for him. The law firm pinned the blame on Mr Cheng and Mr Ng for misleading Mr Su and his family.

Lawyer – Professional Negligence

- Fail to check the remaining lease and inform purchaser

Property Agent – Negligence Misrepresentation

Seller – Fraudulent Misrepresentation

History of Negligence Case:

Donoghue vs Stevenson 1932



Friend bought a ginger beer to Donoghue in a cafe. Towards the end of her drink, she poured out a dead snail out from the bottle. She fell ill and she sued the ginger beer manufacturer, Mr Stevenson

1. Her claim was successful.
2. This case established the modern law of negligence and established the neighbour test.
3. The outcomes of Donoghue v. Stevenson established several legal principles and precedents

Element 1: Duty of Care – Neighbour Principle



1. A person must take reasonable care to avoid acts and omissions which you can reasonably foresee would be likely to injure your *neighbour*
2. A person owes a duty of care to *neighbour = victim* who are so directly and closely affected by his acts

Question: When does Duty Of Care arise?

Based on certain relationships such as:

1. Doctor & patient;
2. Professionals & clients; (Salespersons and Clients)
3. Manufacturer & consumer;
4. Drivers to road users

Agents owes a duty of care not only to their principals but to 3rd parties too.

- Buyer can sue the Seller's agents for **negligent misstatement**

Element 2: Breach of Duty

1. If Duty Of Care is established, Was there a breached of this duty ?

To answer, we must know what is the standard of care ?

2. Standard of Care → *The 'Reasonable Man' test*
 - *to act with a reasonable level of skill in the activity that any professionals are undertaking.*

Element 3: Damage

1. Victim **must show** that he/she suffered suffers **losses, damages or injury**

Element 4: Damage/Loss not be too remote

1. **Reasonable connection** between *Wrong Doer's* behaviour and *Victim's* injury/loss
2. Losses, Damages or Injuries → **Reasonably Foreseeable**

Remedies to Negligence

1. Damages
2. Injunctions
3. Rescission
4. Rectification

Defense to Negligence

1. Volenti Non Fit Injuria *“To a willing person, Injury is not done”*
 - Victim has full knowledge of risk → Injury or Damages
 - Consented to the risk
 - Harm suffered voluntarily does not constitute a legal injury
2. Illegality
 - No claims can be founded on a illegal cause
3. Exemption/Indemnity Clauses
 - any contract term excluding liability for negligence causing other types of damage is valid provided it is reasonable
4. Limitation Periods
 - Limitation Act – Torts or Contract (**6 years**), Negligence (**3 years**)
5. Contributory Negligence
 - Victim failed to take reasonable care and suffers injury or damages partly victim's own fault and partly as a result of other party's wrong doing

Case: Banque Bruxelles Lambert Sa (Banks) v Eagle Star Insurance Co Ltd (Valuers) – 1994

- i. Valuers negligently over-valued properties and the Bank then accepted mortgages of the properties.
- ii. Later the property market collapsed and the various borrowers defaulted and on sale the banks obtained substantially less than the sums they had advanced
- iii. Bank sued valuers. Valuer defences – Contributory Negligence as bank knew difference of valuation and price.

Difference between Negligence, Negligence Misrepresentation & Negligent Misstatement

Negligent Misstatement	Negligence Misrepresentation
1. Establish Duty of Care	1. No need to establish Duty of Care
2. No Contract	2. Induce to Contract
3. Remedy: Damage	3. Remedy: Rescission & Damage

Note:
Agent owes_____ to client

1. Contractual duties and
2. Duty of care (tort)

